FEWS NET
FAMINE EARLY WARNING SYSTEMS NETWORK

SUDAN Food Security Outlook Update — April 2021

High food prices and poor purchasing power drive high needs through the lean season

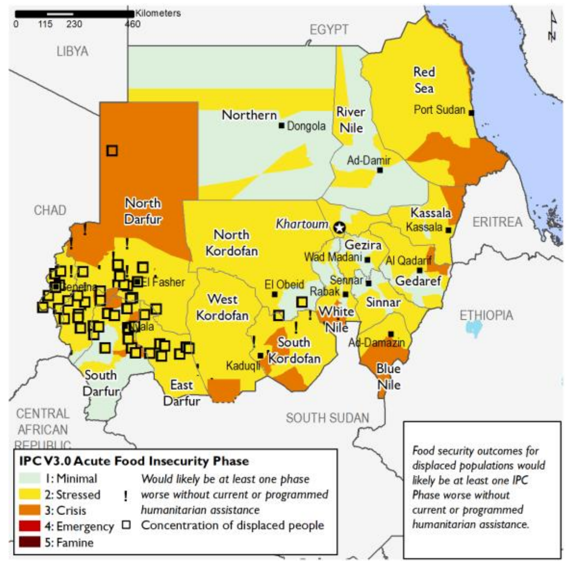
KEY MESSAGES

- Sudan is expected to face increased emergency humanitarian assistance needs through the peak of the lean season (June-September 2021) due to extremely high food prices and below-average household purchasing power, increases in displaced households in Darfur, the continued influx of Ethiopian refugees from Tigray, and the economic impacts of COVID-19. The number of households facing Crisis (IPC Phase 3) outcomes is expected to remain high, particularly among recently displaced households, refugees, people affected by a below-average harvest last season, and urban poor households.

- The 2020/21 winter season wheat harvest has concluded across most wheat-producing areas. Despite some impact from flooding and a high cost of production, the harvest is estimated to be 10 percent above the five-year average by the government in the irrigated schemes, and Northern and River Nile states. To better compensate farmers following the devaluation of the SDG and to encourage selling products to the Bank, the government has raised the *Salam* price (preset price for in-kind payments of debts to the Agricultural Bank) from 10,000 SDG/90 kg of wheat to 13,500 SDG/90kg of wheat.

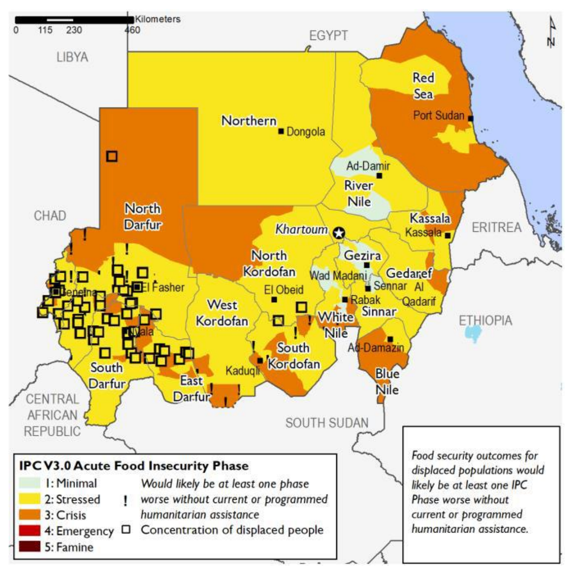
- In March and April, staple food prices have continued to unseasonally increase, attributed primarily to the extremely high production and transportation costs that are almost 10 times greater than costs last year. Additional drivers for the above-average prices include the recent devaluation of the Sudanese Pound, above-average demand for local wheat due to the high cost and shortages of imported wheat and wheat flour, and increased demand in preparation for Ramadan. Between February and March, staple food prices increased 10-20 percent and remained 200-250 percent higher than respective prices last year and over six times the five-year average.

Projected food security outcomes, April to May 2021



Source: FEWS NET

Projected food security outcomes, June to September 2021



Source: *FEWS NET*

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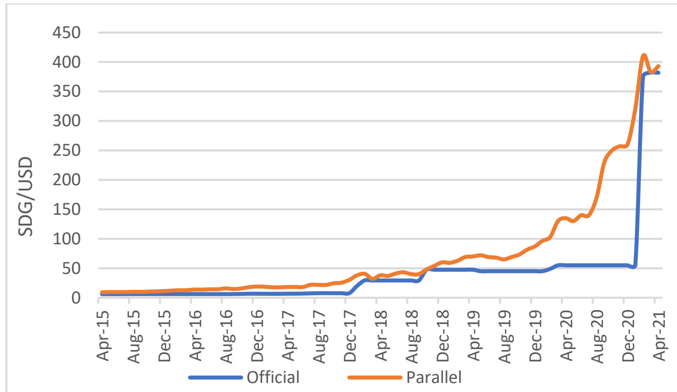
CURRENT SITUATION

Macroeconomic crisis

Figure1. Sudanese Pound (SDG) to U.S. Dollar (USD) exchange rate, official and parallel market, August 2015 – April 2021



Source: *FEWS NET/FAMIS*

Following the flexible managed float of the Sudanese Pound (SDG) in February, the SDG has stabilized between 375-382 SDG/USD through the second week of April, as an increasing number of Sudanese migrant workers exchange remittances and dollar holdings at the banks. However, the parallel market exchange rate has started to increase and surpassed the official exchange rate in the third week of April 2021 when the parallel market rose to 393 SDG/USD compared to the official rate of 382.9 SDG/USD, primarily driven by insufficient FOREX reserves (Figure 1). The stability of the SDG from February through mid-April drove a slight decrease in the prices of some commodities such as sugar, oil fruits, fish, and pulses. However, the prices of most imported essential items increased 15-20 percent in response to the devaluation and continued restructuring of subsidies on fuel, electricity, imported wheat, and imported wheat flour. According to Sudan's Central Bureau of Statistics (CBS), the national inflation rate in March increased by 11 percentage points to 341.78 compared to February, almost 319 percentage points over March 2020, and 553 percentage points over the five-year average. Inadequate reserves of foreign currency, and increased shortages of USD in the official banking system, coupled with high demand for imports of essential food and non-food items including wheat, fuel, and medicine, have driven further depreciation of the Sudanese Pound.

Conflict and Ethiopian refugees

In early April, violent inter-communal clashes erupted in Geneina, West Darfur state, for the second time in three months, displacing over 40,000 people, according to the Humanitarian Aid Commission (HAC). The clashes have resulted in households, primarily IDPs, losing food stocks and hindering access to markets due to supply disruptions and road closures. Since January 2021, over 149,000 people have been displaced in West Darfur due to the inter-communal clashes. According to data from The Armed Conflict Location & Event Data Project (ACLED), events involving ethnic and political militias doubled in the first quarter of 2021 compared to 2020, with fatalities up by 500 percent. The HAC has confirmed that there are 13 new gathering points where IDPs have sought shelter within Geneina. Available reports have estimated that over 1,800 people have fled Geneina locality and crossed the border into Chad's Ouaddari province. Tensions have remained high as sporadic attacks on villages continue across Darfur.

According to UNHCR and the government's Commission for Refugees (COR), through March 2021, Ethiopian refugees have continued to cross into Al Gadaref, Kassala, and Blue Nile states at lower arrival rates compared to the beginning of the conflict in November 2020. In March 2021, 1,062 refugees (around 35 arrivals per day) crossed into Sudan compared to 1,530 refugees in February (around 54 arrivals per day). As of April 28, 2021, over 63,000 Ethiopian refugees have arrived in Sudan since November 2020. Over 41,000 refugees have been relocated from Hamdayet, Ludgi, and Abderafi border points to Hamdayet, Village eight, Tunaydbah Settlement, and Um Rakuba camp in Al Gadaref and Kassala states.

COVID-19

According to the Federal Ministry of Health (FMoH), as of April 25, 2021, Sudan has recorded 33,673 confirmed COVID-19 cases since the start of the pandemic, with a daily average of around 74 confirmed COVID-19 cases in April, compared to a daily average of 48 confirmed cases in March, and 38 confirmed cases in February. The increase in COVID-19 confirmed cases are notable in Khartoum, Gadaref, Red Sea, North Darfur, and River Nile. Although no additional restrictions have been implemented following the increase in confirmed COVID-19 cases, schools in El Gadaref state were closed for two weeks following the increase in cases. The FMoH has also reported an oxygen shortage at hospitals resulting in medical facilities transferring patients between states. On April 10, 2021, the FMoH launched the COVID-19 vaccination program in Khartoum, vaccinating just over 100,000 people in the first phase of vaccine distribution.

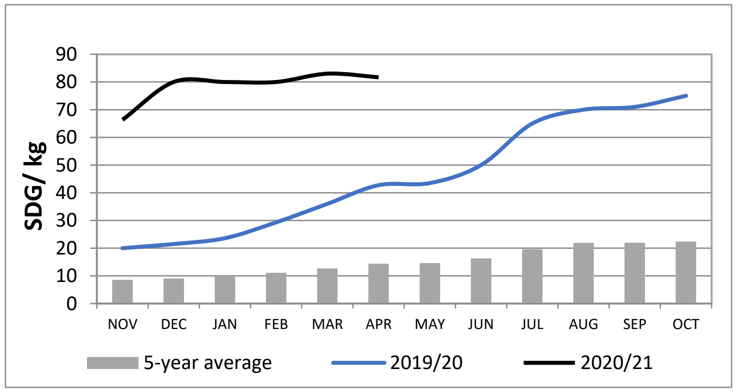
Winter wheat harvest

The 2020/21 winter wheat harvest has concluded in most wheat-producing areas of northern and central Sudan. According to the Ministry of Agriculture, an estimated 700,000 MT of locally produced wheat is expected to be harvested, around 10 percent above the five-year average, despite being negatively impacted by flooding and high production costs. The harvest is expected to stabilize wheat prices for the short term and improve food access in northern Sudan.

Staple food prices and terms-of-trade

Between March and April 2021, across most markets monitored by FEWS NET, sorghum and millet prices had mixed trends compared to March, as prices either stabilized, slightly decreased, or increased by 5-20 percent across markets, retailing on average at 91 and 161 SDG/kg, respectively. In Geneina (West Darfur) and Kadugli (South Kordofan) markets, prices increased by up to 35 percent, driven by market disruptions from recent tribal clashes, increased insecurity, and high transportation costs. In El Damer, Port Sudan, and Zalengi markets, prices remained relatively stable, driven by the recent wheat harvest. In Al Qadarif, the main production market, sorghum and millet prices decreased by 10 percent, driven by increased supplies from the new harvest and border tensions with Ethiopia and Eritrea, resulting in below-normal cross-border trade flows. Sorghum and millet prices have remained on average 200-250 percent higher than respective 2020 prices and over six times above the five-year average. Over the past year, the increase in prices is being driven by the devaluation of the SDG, extremely high production and transportation costs, limited household and market carryover stocks, and higher-than-typical cereal demand as big traders seek to replenish their stocks and increased demand over Ramadan.

Figure 2. Retail prices of sorghum, Kosti market, White Nile state, November 2020-April 2021



Source: *FEWS NET/FAMIS*

In April, locally produced wheat prices also demonstrated mixed trends. From March to April, prices increased 5-15 percent in Madani, Port Sudan, Dongola, and Sennar markets while decreasing 10 percent in EL Obied, Al Qadaref, and Madani markets, and remaining stable across other monitored markets. In the Dongola market, the main wheat production and consumption market, locally produced wheat sold for 179 SDG/kg in April compared to 171 SDG/kg in March, around 260 percent over respective prices in 2020, seven times above the five-year average. The main drivers for the high locally produced wheat prices are high production and transportation costs, higher than normal demand for local consumption due to shortages and high prices of imported wheat and wheat flour, along with the recent devaluation of the SDG. In February, the government raised the *Salam* price (the preset in-kind payment for farmer debts to the Agricultural Bank of Sudan) from 10,000 SDG/90 kg to 13,500 SDG/90 kg (the market price) due to the extremely high production costs and the recent devaluation of the SDG.

Goat and sheep prices increased by 5-10 percent across most main markets between March and April 2021. Price increases are attributed to improved animal body conditions following improved availability of water and pasture, the resumption of exports to Saudi Arabia, high transportation costs, and the devaluation of the Sudanese Pound. Across the main livestock markets, the March 2021 goat and sheep prices are almost 145-160 percent above last year and 475-500 above the five-year average.

Between February and March 2021, the livestock-to-cereal terms-of-trade (TOT) improved, driven by increases in livestock prices. The March 2021 goats-to-sorghum TOT in the El Obied market increased 18 percent compared to February following an 18 percent increase in goat prices, while sorghum prices remained relatively stable, approximately 35 percent above respective prices last year but 40 percent below the five-year average.

Humanitarian assistance

In March 2021, WFP and implementing partners provided approximately 3.6 million people with 79,118 MT of food assistance and 16.2 million USD in cash-based transfers (CBT). Most beneficiaries were IDPs and conflict-affected people in Greater Darfur, government-controlled areas of South Kordofan and Blue Nile, refugees from South Sudan and Ethiopia, and flood-affected households. Between April and September 2021, around 9 million beneficiaries are expected to be reached with 238,214 MT of food assistance and 44 million USD in CBT.

UPDATED ASSUMPTIONS

Revisions to the assumptions used to develop FEWS NET's most likely scenario for the Sudan Food Security Outlook for February to September 2021 include:

- Intercommunal conflict incidents in Darfur have doubled from January-March 2021, compared to the same period in 2020. Sporadic attacks on villages will continue to escalate through the outlook period, particularly in Darfur, with clashes likely reaching a peak during the planting and rainy season (June-August/September), coinciding with the seasonal movements of nomadic groups to the normal wet season grazing areas.
- The Sudanese government's ongoing peace process with the Sudan Revolutionary Front (SRF) rebel alliance and the Sudanese People's Liberation Movement-North (SPLN-N) – Al Hilu faction is not expected to have any discernable effect on the conflict activity of armed opposition groups. Levels of conflict attributed to these groups, particularly in South Kordofan and Blue Nile, are already at significantly reduced levels since the signing of the Juba Agreement in October 2020. This relative détente is likely to continue, even assuming a slow implantation process.
- Tensions over the border dispute between Sudan and Ethiopia and the filling of the Ethiopian Renaissance Dam (GERD) are likely to continue during the outlook period with increased military presence along the border. The border situation will remain tense while sporadic attacks between Sudanese forces and Ethiopian armed militiamen in eastern Sudan are likely to increase in the lead up to July 2021, when Ethiopia will look to proceed with the second phase of the filling of the GERD during the upcoming rainy season.

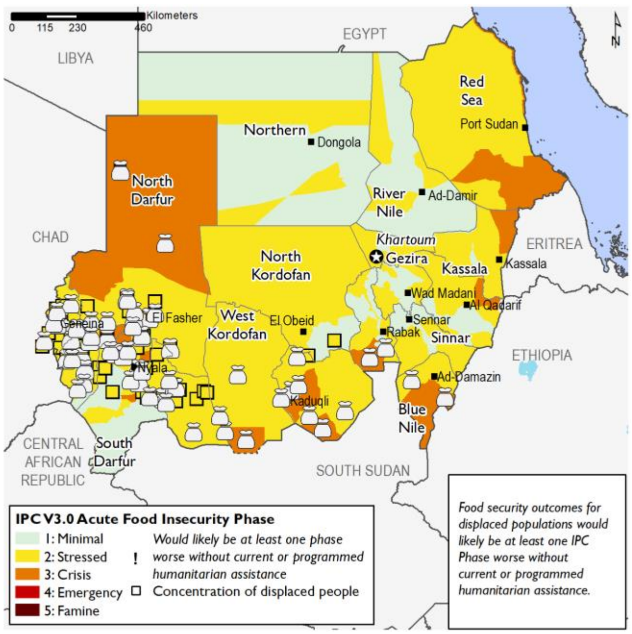
PROJECTED OUTLOOK THROUGH SEPTEMBER 2021

April and May typically is the start of the lean season as household food stocks begin to dwindle. This year, household and market food stocks have reportedly depleted earlier than usual across Sudan, along with unseasonal increases during the post-harvest period of February to March. This is being driven by high transport costs, the devaluation of the SDG, and increased demand for locally produced food due to the high cost, and shortage, of imported wheat and wheat flour. The most affected households are IDPs, conflict-affected households in parts of West Darfur, SPLM-N controlled areas of South Kordofan and the Blue Nile, and poor households in the marginal areas of the northern Red Sea. These households are expected to face Crisis (IPC Phase 3) outcomes in April and May. Although the upcoming June to September rainy season is likely to improve household access to in-kind and cash payments from agricultural labor and improved livestock conditions, this is also typically the peak of the lean season. Most of Sudan is expected to be Stressed (IPC Phase 2), but Crisis (IPC Phase 3) outcomes are expected among poor households, particularly IDPs, conflict-affected households, and pastoral and agropastoral households in South Kordofan, Darfur, Blue Nile, Kassala, and North Kordofan due to below-average purchasing power, a high dependency on market purchases, extremely high food and non-food prices, high transportation costs, and conflict disruptions to market supplies and livelihood activities.

MOST LIKELY FOOD SECURITY OUTCOMES AND AREAS RECEIVING SIGNIFICANT LEVELS OF HUMANITARIAN ASSISTANCE

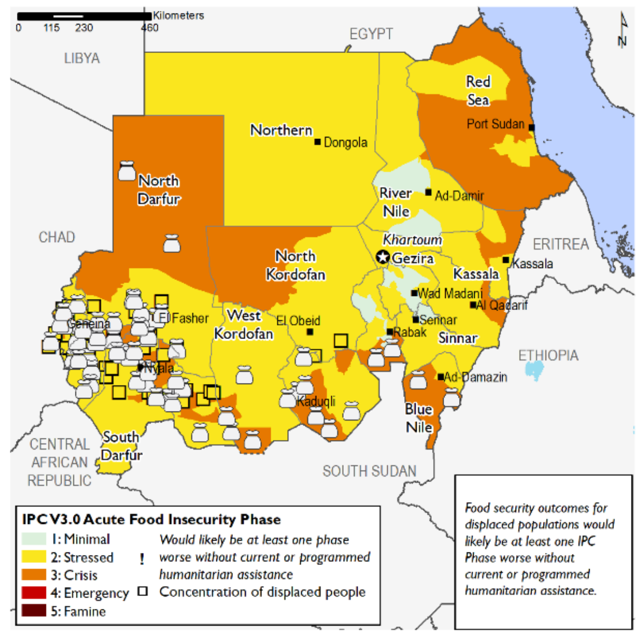
Each of these maps adheres to IPC v3.0 humanitarian assistance mapping protocols and flags where significant levels of humanitarian assistance are being/are expected to be provided. indicates that at least 25 percent of households receive on average 25–50 percent of caloric needs from humanitarian food assistance (HFA). indicates that at least 25 percent of households receive on average over 50 percent of caloric needs through HFA. This mapping protocol differs from the (!) protocol used in the maps at the top of the report. The use of (!) indicates areas that would likely be at least one phase worse in the absence of current or programmed humanitarian assistance.

Projected food security outcomes, April to May 2021



Source: *FEWS NET*

Projected food security outcomes, June to September 2021



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ABOUT SCENARIO DEVELOPMENT

To project food security outcomes, FEWS NET develops a set of assumptions about likely events, their effects, and the probable responses of various actors. FEWS NET analyzes these assumptions in the context of current conditions and local livelihoods to arrive at a most likely scenario for the coming eight months. Learn more here.